Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis (R2).** R2 asked for a fuller treatment of the stock market evidence around a greater set of legal events. The examination the referee suggested identified an additional important event: the certiorari grant and midterm election of November 1934, around which gold-exposed firms outperformed non-exposed firms by 3.5 percentage points ($t = 3.3$), second only to the Joint Resolution window. The event is now part of the main analysis. The return evidence appears in a dedicated table (Table 1, in the main text) and four event-study figures (Internet Appendix Figures IA.2–IA.5). A new Internet Appendix section examines the lower court events; none of them generated a strong differential in returns between exposed and unexposed firms.

- **Robustness with the full set of fixed effects (R6).** R6 asked to see the characteristic-control specifications with industry-year fixed effects included. New Internet Appendix Table IA.19 reports all of them. The 1933 effect is essentially unchanged and remains significant; the 1934 effect attenuates and mostly loses significance, without sign reversals. Section 5 now discusses this sensitivity directly and notes that the attenuation arises only when the characteristic controls and the industry-year fixed effects are included together.

- **Limitations of the exposure measure (R6).** R6 asked the paper to be more upfront about the fact that gold exposure is entangled with the debt-versus-preferred composition of a firm's fixed claims. Section 5.5 now closes with an explicit limitations discussion, stating that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends (R6).** R6 noted that the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient. Section 5.2 now acknowledges this directly and clarifies that the support for the parallel-trends assumption comes from the pre-treatment coefficients as a group: uniformly small, individually insignificant, and without trend toward the treatment years.

- **Liberty bond discussion (R2).** R2 asked for the appropriate context for the Liberty Bond price increase during the January 1935 arguments. We agree with the referee's interpretation and have adopted it in the text: as gold-denominated government obligations, Liberty Bonds rose in price because investors saw a real chance the government could lose the case. The missing *New York Times* citation has been added.

Corrections identified while reviewing the code. As part of this revision we reviewed the code of our empirical exercises end to end; every table and figure now regenerates from the raw data. This exercise surfaced two issues in Table 4 of the previous draft, which we have corrected.

1. The note to column 5 misdescribed the specification: the column uses an alternative exposure measure that scales gold-clause debt by the firm's total fixed claims (bank debt, bonds, and preferred shares), rather than the baseline $\tilde{d}$ on a restricted sample. This is purely a labeling issue: the column header, the table note, and the corresponding text in Section 5 now describe the specification correctly, and the estimates are unchanged.

2. The "no redemption" sample of column 4 (and of Internet Appendix Table IA.12, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935, an artifact of missing-value handling in the original code; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. The only significance change is that the marginally significant $1928 \times \tilde{d}$ interaction in column 4 loses its 10% star. For convenience, Table R1, at the end of this document, reports column 4 before and after the correction.

The review surfaced two smaller corrections in the same category.

1. The standard errors in column 7 of Table 4 (the bank-debt placebo) were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like

every other column. The coefficients are unchanged; the 1926 and 1928 placebo interactions sharpen from the 10% level to the 5% and 1% levels, respectively, and the litigation-year cells remain insignificant in both versions. For convenience, Table R2, at the end of this document, reports the column before and after the correction.

2. The firm count printed in the header of Panel C of Table 2 (formerly 594) was a typographical error introduced when the table was created; the underlying sample is unchanged (503 firms).

None of these corrections affects any result the paper relies on.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with "event lines" (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion; it changed the exposition of the historical narrative. We first implemented it literally: we built the four requested return series from CRSP daily returns and examined the market's response to every legal development of the litigation, from the Joint Resolution and the first lawsuits through the lower court rulings, the certiorari grants, the oral arguments, and the decision.

Regarding the legal events of interest, two findings emerged from this exercise.

1. An event the previous draft had missed, which we owe to the referee: the window of November 5–8, 1934. On Monday, November 5, the Supreme Court granted certiorari in *United States v. Bankers Trust Co.*, that is, it agreed to review the case. The government itself had petitioned for review, seeking a prompt, definitive ruling on the gold question rather than further lower-court litigation. The very next day, the president's party won an exceptional midterm victory that was widely read as popular ratification of the New Deal. Both pieces of news bear directly on the uncertainty we study: the certiorari grant on the timing of its resolution, the election on the perceived durability of the abrogation. Because the exchange was closed on election day, we cannot disentangle the effect of the certiorari grant from that of the election result. Over the window, exposed firms outperformed non-exposed firms by

3.5 percentage points ($t = 3.3$).

2. None of the lower court events produced a significant differential between exposed and non-exposed firms.

Below we report what the literal implementation shows, and then explain how it led to the presentation the paper adopts, which we believe follows the suggestion's spirit.

Part of the referee's recommendation reads:

> *A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with "event lines" (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors.*

Because the events last only a few days each over a nearly two-year period, plotting them all in one graph makes it impossible to visualize the effects. Instead, we plotted individual graphs of the four return series around each event, which we report in Figure R1 at the end of this document. Working with these figures surfaced two further issues with the four-series representation.

1. The equal-weighted exposed portfolio and the exposure-weighted portfolio track each other closely in every window, as Figure R1 shows: weighting exposed firms by the size of their exposure barely changes the portfolio's return. Reporting both series is therefore redundant. We keep the equal-weighted version, both because it is the simpler object and because the historical section precedes the formal introduction of the exposure measure; the narrative thus relies on the comparison of exposed ($\tilde{d} > 0$) and non-exposed ($\tilde{d} = 0$) portfolios.

2. In the two windows with large positive returns, the Joint Resolution and the certiorari grant and midterm election, the market return sits far below the exposed and non-exposed portfolios alike. The reason is that small firms rallied far more than large firms; the gap is a size effect, not evidence on gold exposure, and we address it head-on below.

To keep the main text succinct, the event plots are in the Internet Appendix, redrawn in the adopted representation with the two equal-weighted portfolios (Figures IA.2–IA.5), and the narrative in Section 3 relies on a single reference table: Table 1, which reports, for every main event window and for the full episode, the cumulative returns of exposed and non-exposed portfolios, pooled and within size terciles, with raw and beta-adjusted differentials and t-statistics scaled by the daily variability of the differential over the pre-abrogation period (July 1926–December 1932). Internet Appendix Table IA.20 covers the lower court events in the same format. We reproduce Table 1 below.

Stock market responses to key legal events (Table 1 of the paper)

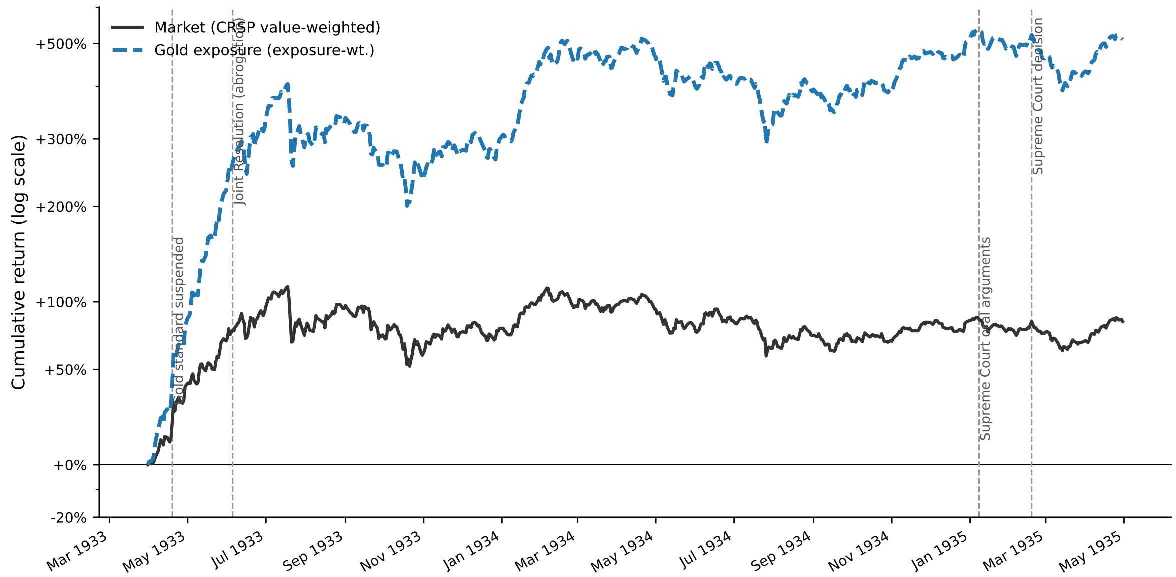
	Portfolio return		Differential (gold − no gold)			
	Gold	No gold	Raw	t	β-adj.	t
Panel A: Joint Resolution (May 26–June 6, 1933)						
Pooled	30.9%	25.4%	+5.5	(3.0)	+4.2	(2.3)
Small	49.0%	44.4%	+4.6	(1.2)	+4.2	(1.1)
Medium	24.8%	20.0%	+4.9	(1.5)	+2.5	(0.8)
Large	18.3%	15.9%	+2.4	(1.4)	+0.9	(0.5)
Panel B: Certiorari Grant & Midterm Election (November 5–8, 1934)						
Pooled	7.5%	4.0%	+3.5	(3.3)	+3.2	(3.1)
Small	14.6%	6.2%	+8.4	(3.7)	+8.4	(3.7)
Medium	4.7%	3.8%	+0.9	(0.5)	+0.5	(0.3)
Large	2.5%	2.4%	+0.1	(0.1)	-0.2	(-0.2)
Panel C: Supreme Court Arguments (January 8–10, 1935)						
Pooled	-1.3%	-1.4%	+0.1	(0.1)	+0.3	(0.3)
Small	-1.1%	-0.7%	-0.3	(-0.2)	-0.3	(-0.1)
Medium	-1.2%	-2.1%	+0.9	(0.5)	+1.3	(0.7)
Large	-1.7%	-1.3%	-0.4	(-0.4)	-0.1	(-0.1)
Panel D: Post-Argument Days (January 11–17, 1935)						
Pooled	-4.5%	-3.3%	-1.2	(-0.8)	-0.9	(-0.6)
Small	-4.8%	-3.1%	-1.7	(-0.5)	-1.7	(-0.5)
Medium	-5.3%	-3.5%	-1.8	(-0.7)	-1.2	(-0.5)
Large	-3.4%	-3.2%	-0.2	(-0.2)	+0.1	(0.1)
Panel E: Supreme Court Decision (February 18, 1935)						
Pooled	3.7%	3.2%	+0.5	(0.8)	+0.2	(0.3)
Small	3.3%	2.8%	+0.6	(0.4)	+0.5	(0.4)
Medium	4.6%	3.7%	+0.9	(0.8)	+0.3	(0.3)
Large	3.2%	3.0%	+0.2	(0.4)	-0.1	(-0.2)
Panel F: Full Episode (May 26, 1933–February 18, 1935)						
Pooled	125.3%	116.9%	+8.4	(0.6)	+5.0	(0.4)
Small	269.5%	281.0%	-11.5	(-0.4)	-12.4	(-0.4)
Medium	70.6%	84.1%	-13.5	(-0.6)	-19.8	(-0.9)
Large	60.6%	54.8%	+5.7	(0.4)	+1.9	(0.1)

Note. Cumulative raw returns, from daily CRSP returns, of equal-weighted portfolios of firms with ($\tilde{d}_j > 0$) and without ($\tilde{d}_j = 0$) gold-clause exposure over each event window, pooled and within size terciles formed on market capitalization at the end of 1932 (gold/non-gold firm counts: 177/376 pooled; 69/116, 51/133, 57/127 across terciles). Differentials are gold minus non-gold, in percentage points; the beta-adjusted differential subtracts $(\beta_G - \beta_N) \times R_m$, where R_m is the market return over the window and portfolio betas are estimated from daily returns over 1926–1940 (pooled: $\beta_G = 1.01$, $\beta_N = 0.90$). t-statistics scale each differential by $\hat{\sigma}\sqrt{h}$, where h is the number of trading days in the window and $\hat{\sigma}$ is the standard deviation of the daily differential over the pre-abrogation period (July 1926–December 1932). The decision-day benchmark is the close of Saturday, February 16, 1935. The November window combines the certiorari grant in *United States v. Bankers Trust Co.* with the midterm election, for which the exchange was closed.

The central result is the Joint Resolution window (May 26–June 6, 1933): exposed firms returned

30.9% against 25.4% for non-exposed firms, a differential of +5.5 percentage points ($t = 3.0$), the gold-specific response that the abrogation's debt relief predicts. The oral-arguments window itself is nearly flat; news of the government's poor showing spread through the press only after the hearings, and the differential appears over the post-argument days (January 11–17), as Section 3 now describes.

Although we did not include the referee's single full-period figure in the paper, we constructed it and reproduce it below; it illustrates how the cumulative scale, dominated by the 1933 reflation rally, compresses the event-window movements that carry the identification. The full-horizon numbers appear in the paper instead: the final panel of Table 1 (Panel F) reports cumulative returns over the full episode, May 26, 1933 through February 18, 1935, in the same format as the event windows. Two features of that panel are worth stating for the referee. First, the pooled differential over the entire episode, +8.4 percentage points, is essentially the sum of the five event-window differentials (+5.5, +3.5, +0.1, −1.2, +0.5): the gold-specific repricing accrued at the identified event dates, with little net drift between them. Second, no full-horizon differential could be statistically significant under our convention—over roughly 520 trading days, one standard deviation of the cumulative differential is $\hat{\sigma}\sqrt{h} \approx 14$ percentage points—which is precisely why the analysis rests on narrow windows around identified news; the within-tercile entries of Panel F are correspondingly noisy (small firms of either group roughly tripled in value over these twenty-one months). Section 3 draws the corresponding inference: because the full-episode differential is modest, the event windows are not picking up a systematic, persistent return differential between the two groups, which reinforces the attribution of the event-window differentials to gold-specific news.



The figures also reveal a size pattern that we address directly rather than leave to the reader. Over the Joint Resolution window the two equal-weighted portfolios gained 25–31% while the value-weighted market gained 12%: small firms rallied far more than large firms, which could raise the concern that the exposed-minus-non-exposed differential reflects firm size rather than gold exposure. The natural check is to value-weight the two portfolios, but in this sample that comparison is dominated by a handful of firms: the five largest of the 177 gold-exposed firms carry 48% of the value-weighted gold portfolio's weight, and the ten largest carry two thirds. The value-weighted differential over the Joint Resolution window, -2.2 percentage points ($t \approx -1.3$ under the same convention), is therefore effectively a comparison of a few of the era's giants—Standard Oil of New Jersey, General Electric, and U.S. Steel among them—with their non-exposed counterparts, not a statement about the average exposed firm.

We therefore hold size fixed instead. Table 1 of the paper, reproduced above, repeats the equal-weighted comparison within size terciles formed on market capitalization at the end of 1932—before the litigation year, so that the classification cannot reflect the events themselves. This is the representation we settled on for the paper's return evidence: one table collecting all the main event windows, pooled and by size tercile, raw and beta-adjusted. In the paper we keep the reasoning brief—a footnote in Section 3 notes that value weighting would concentrate the comparison in a handful of giant firms—and give the full account here. Over the Joint Resolution window the differential is positive in all three terciles (+4.6, +4.9, and +2.4 percentage points for small, medium, and large firms), while the pooled differential remains significant both raw (+5.5, $t \approx 3.0$) and beta-adjusted (+4.2, $t \approx 2.3$); the within-tercile differentials are individually insignificant, which is unsurprising given the volatility of the period. Adjusting each differential for the portfolios' market betas leaves the small-firm differential essentially unchanged and reduces the medium and large ones. The post-argument days show the mirror image: the gold-exposed portfolio underperforms in the small and medium terciles, with essentially no differential among the largest firms. Section 3 now summarizes this evidence—the differential is strongest among smaller firms, weaker though still visible among the largest, and individually insignificant within terciles, the terciles being measured with considerably more noise than the pooled differential.

One arithmetic feature of the table deserves a remark so that it does not read as an inconsistency: the pooled Joint Resolution differential (+5.5) exceeds each within-tercile differential (+4.6, +4.9, +2.4). This is a composition effect. The terciles are formed on common end-1932 market-capitalization breakpoints, and exposed firms—larger by assets but more levered, hence smaller by equity value—fall disproportionately in the small tercile (39% of exposed firms, against 31% of non-exposed firms), which earned the largest returns in the window. Roughly 4 percentage points of the pooled differential reflect the within-size differential and 2 percentage points the size-composition difference, with a small daily-rebalancing residual accounting for the remainder. The beta-adjusted pooled differential (+4.2) strips most of the composition component—the gold portfolio's higher beta largely reflects its small-firm tilt—which is why it sits close to the average of the within-tercile differentials. A footnote in Section 3 now makes this point.

The weaker response among the largest firms is what the mechanism predicts rather than a puzzle: the equity response to news about the value of gold-clause debt should scale with that debt relative to the value of equity, and gold-clause debt relative to market capitalization is roughly an order of magnitude larger for small exposed firms than for the largest tercile. It also parallels the investment evidence, where allowing for size heterogeneity in the aggregation yields more moderate effects among large firms (Internet Appendix Table IA.18). Within terciles the t-statistics are naturally modest, and we would caution against reading much into any single cell: each tercile portfolio contains a third of the firms, so its daily differential is substantially noisier than the pooled one—the pre-abrogation $\hat{\sigma}$ for the small tercile is roughly twice the pooled value—and nine-day comparisons within portfolios of 51–133 firms are noisy almost by construction. The pooled differential (+5.5 percentage points, $t \approx 3.0$), which uses all firms, carries the statistical inference; the size split shows that its sign is not an artifact of the smallest firms.

The referee also suggests presenting the return analysis in a regression framework. Table 1 implements the comparison such a regression would run: the raw differential is numerically the coefficient on a gold-exposure indicator in a cross-sectional regression of event-window returns, and the beta-adjusted differential is its market-model counterpart. What we deliberately avoid is drawing *inference* from the cross-sectional dimension. Event-window returns are strongly correlated across firms, so treating the 553 firms as independent observations would understate the standard errors severely. We therefore follow the event-study tradition of Brown and Warner (1985) and scale each portfolio differential by the variability of the same differential in event-free times—the pre-abrogation daily standard deviation described above—which accounts for cross-firm dependence by construction.

In more detail on the first lawsuits and lower court rulings, new Internet Appendix Section IA.1 (Table IA.20) examines every intermediate judicial step the referee mentions: the first hearing on the enforceability of gold clauses (May 22–24, 1933), the lower-court rulings upholding the Joint Resolution (*In re Missouri Pacific*, June 20, 1934; the *Norman* affirmance, July 3, 1934), and the first certiorari grant (October 8, 1934). None of them produced a significant differential response (differentials of +1.4, −1.2, +0.7, and +0.7 percentage points, all with $|t| \leq 1.3$), consistent with procedural steps that confirmed the status quo being largely anticipated; a footnote in Section 3 points readers to this analysis. The size split reinforces these null results: as new Internet Appendix Table IA.20 (reproduced below) shows, none of the four judicial events produces a differential exceeding $|t| = 1.3$ in any size tercile, raw or beta-adjusted.

Finally, the November window that the referee's suggestion uncovered is now part of the main analysis: it appears in Table 1, Section 3, and Internet Appendix Figure IA.3. The size split shows the differential is entirely a small-firm phenomenon (+8.4 percentage points, $t = 3.7$, in the bottom tercile, against +0.9 and +0.1 in the middle and top terciles). Consistent with the political reading above, the repricing is a gold-versus-non-gold differential *within* a size class, not a general small-firm rally. Section 3 states plainly that the certiorari grant and the election cannot be separated within the window, and we note here, for the referee, that the window was identified in the course of this analysis rather than specified ex ante.

Intermediate legal events, by firm size

	Portfolio return		Differential (gold − no gold)			
	Gold	No gold	Raw	t	β-adj.	t
Panel A: First gold-clause hearing, Irving Trust (May 22–24, 1933)						
Pooled	8.3%	6.9%	+1.4	(1.3)	+0.8	(0.7)
Small	8.8%	6.7%	+2.1	(0.9)	+1.9	(0.8)
Medium	8.6%	7.7%	+0.9	(0.5)	-0.2	(-0.1)
Large	7.4%	6.3%	+1.2	(1.2)	+0.5	(0.5)
Panel B: In re Missouri Pacific ruling (June 20–22, 1934)						
Pooled	-5.1%	-3.9%	-1.2	(-1.1)	-0.8	(-0.8)
Small	-5.5%	-3.9%	-1.6	(-0.7)	-1.5	(-0.7)
Medium	-5.1%	-4.3%	-0.9	(-0.5)	-0.1	(-0.1)
Large	-4.7%	-3.6%	-1.1	(-1.1)	-0.6	(-0.6)
Panel C: Norman affirmed, N.Y. Ct. App. (July 3–6, 1934)						
Pooled	2.2%	1.5%	+0.7	(0.6)	+0.4	(0.4)
Small	1.6%	1.8%	-0.2	(-0.1)	-0.2	(-0.1)
Medium	2.0%	1.1%	+0.9	(0.5)	+0.4	(0.2)
Large	2.9%	1.7%	+1.2	(1.2)	+0.9	(0.9)
Panel D: Certiorari granted, Norman (Oct. 8–10, 1934)						
Pooled	2.1%	1.4%	+0.7	(0.6)	+0.6	(0.5)
Small	4.5%	2.4%	+2.1	(0.9)	+2.1	(0.9)
Medium	0.7%	1.0%	-0.3	(-0.2)	-0.5	(-0.3)
Large	0.8%	1.0%	-0.2	(-0.2)	-0.4	(-0.4)

Note. Same construction as the previous table; each window is three trading days from the event date.

One small point on last sentence page 12/top page 13. I don't think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to *be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.*

The referee is right, and we are grateful for the correction. The previous draft stated the Liberty Bond fact without the appropriate context, and the interpretation the referee proposes is exactly the one the episode calls for: since Liberty Bonds were themselves gold-denominated government obligations, their rising prices signaled that investors saw a real chance the government would lose the case and be forced to honor gold payments. We have adopted the referee's interpretation in the revised passage, which now reads:

> "[B]etween January 11 and 17, gold-exposed firms fell 4.5%, against 3.3% for non-exposed firms (Table 1, Panel D). By January 13, the *New York Times* reported that, amid 'the speculative fever for gold,' Liberty Bond prices had reached their highest level since 1917 (New York Times, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected investor expectations that the government could lose the case and be forced to honor full gold payments."

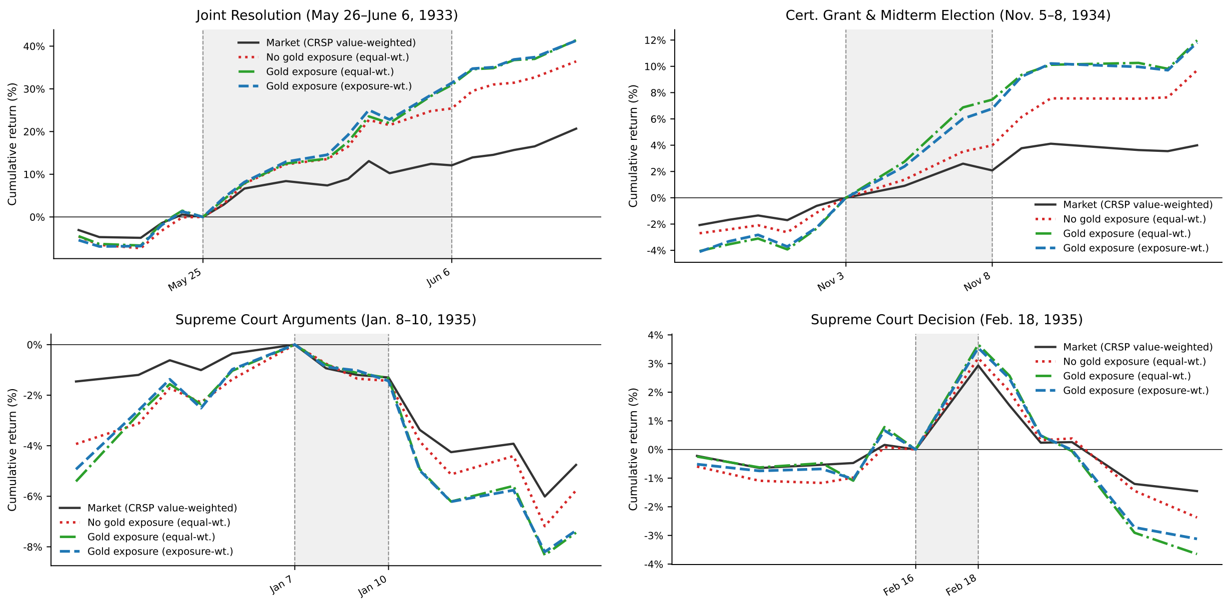
We have also added the missing citation: *New York Times*, "Gold Issue Hits Highest since 1917," January 13, 1935, p. 2.

REFERENCES

Brown, Stephen J., and Jerold B. Warner, 1985, Using daily stock returns: The case of event studies, *Journal of Financial Economics* 14, 3–31.

New York Times, 1935, Gold issue hits highest since 1917, January 13, p. 2.

Figure R1: The four requested return series around each event



Note. Cumulative returns of the four series the referee lists: the CRSP value-weighted market, the equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio. Each panel is normalized to zero at the close of the last trading day before the window; shaded regions mark the event windows.

Table R1: Table 4, column 4 (no-redemption sample), before and after the correction

	Column 4 (No redemption)	
	Round 1	Revised
Q	0.085***	0.086***
	(0.015)	(0.014)
$\tilde{d}$	-0.097**	-0.094**
	(0.033)	(0.034)
1926 × $\tilde{d}$	0.057**	0.061**
	(0.021)	(0.022)
1927 × $\tilde{d}$	0.026	0.010
	(0.028)	(0.030)
1928 × $\tilde{d}$	0.061*	0.039
	(0.030)	(0.031)
1929 × $\tilde{d}$	0.046	0.040
	(0.029)	(0.029)
1930 × $\tilde{d}$	-0.018	-0.024
	(0.022)	(0.022)
1931 × $\tilde{d}$	0.004	0.004
	(0.014)	(0.014)
1933 × $\tilde{d}$	-0.068***	-0.064***
	(0.013)	(0.013)
1934 × $\tilde{d}$	-0.032***	-0.036***
	(0.011)	(0.010)
1935 × $\tilde{d}$	0.025**	0.027**
	(0.010)	(0.010)
1936 × $\tilde{d}$	0.001	0.006
	(0.012)	(0.011)
1937 × $\tilde{d}$	0.015	0.005
	(0.016)	(0.016)
1938 × $\tilde{d}$	0.000	0.009
	(0.019)	(0.019)
1939 × $\tilde{d}$	-0.021	-0.025
	(0.015)	(0.016)
1940 × $\tilde{d}$	-0.005	-0.013
	(0.016)	(0.016)
R^2	0.221	0.224
Observations	5,572	5,918

Note. The Round 1 sample inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. Standard errors in parentheses are two-way clustered by firm and year. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

Table R2: Table 4, column 7 (bank-debt placebo), before and after the clustering correction

	Round 1	Revised
Q	0.095***	0.095***
	(0.014)	(0.017)
$\tilde{d}$	-0.007	-0.007
	(0.110)	(0.093)
$1926 \times \tilde{d}$	-0.335*	-0.335**
	(0.177)	(0.129)
$1927 \times \tilde{d}$	-0.210	-0.210
	(0.157)	(0.124)
$1928 \times \tilde{d}$	-0.144*	-0.144***
	(0.078)	(0.038)
$1929 \times \tilde{d}$	0.252	0.252
	(0.321)	(0.147)
$1930 \times \tilde{d}$	-0.097	-0.097
	(0.098)	(0.081)
$1931 \times \tilde{d}$	-0.045	-0.045
	(0.110)	(0.103)
$1933 \times \tilde{d}$	0.057	0.057
	(0.093)	(0.061)
$1934 \times \tilde{d}$	0.060	0.060
	(0.084)	(0.038)
$1935 \times \tilde{d}$	-0.026	-0.026
	(0.056)	(0.026)
$1936 \times \tilde{d}$	-0.013	-0.013
	(0.062)	(0.032)
$1937 \times \tilde{d}$	-0.038	-0.038
	(0.067)	(0.041)
$1938 \times \tilde{d}$	0.025	0.025
	(0.064)	(0.045)
$1939 \times \tilde{d}$	-0.056	-0.056
	(0.075)	(0.052)
$1940 \times \tilde{d}$	0.032	0.032
	(0.076)	(0.057)
R^2	0.239	0.239
Observations	7,074	7,074

Note. Coefficients are identical in the two versions. The Round 1 standard errors were inadvertently clustered by firm only; the Revised standard errors are two-way clustered by firm and year, like every other column of Table 4. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.